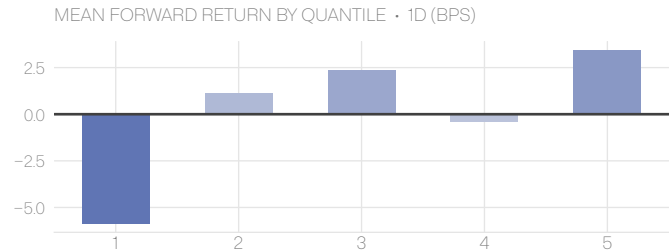




# Supply Velocity

Assets with lower inflation perform better than assets with higher inflation.

Supply Velocity measures changes in token supply dynamics, capturing inflationary and deflationary pressures across crypto assets and reflecting the fundamental relationship between token supply and asset performance. It is inspired by the observation that supply inflation can lead to underperformance as crypto matures into a more fundamental-driven market.



The universe consists of the most liquid and actively traded assets, identified on a rolling basis and survivorship-bias free. Positions are scaled by the inverse of rolling volatility; the factor is available point-in-time with hourly updates.

## EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Long and short the dynamic, rolling Top 40 universe (point-in-time), sized by the factor's cross-sectional strength. Rebalanced daily.

[Download Returns \(CSV\)](#) →

### PERFORMANCE

#### Cumulative Returns

| MTD   | Last Month | 1M   | 3M   | YTD  |
|-------|------------|------|------|------|
| -0.1% | 5.1%       | 2.1% | 2.6% | 5.0% |

#### Annualised Returns (CAGR)

| 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|
| 33.3% | 27.5% | 18.7% | 20.0% |

Report Period Start Date Jan 2020 • End Date Aug 2026

### RISK PROFILE

#### Realised Volatility (annualised)

| 1M   | 3M    | 1Y    | 3Y    | 5Y    | SI    |
|------|-------|-------|-------|-------|-------|
| 9.5% | 12.4% | 13.7% | 14.3% | 13.7% | 15.6% |

#### Max Drawdown

| %      | Date       |
|--------|------------|
| -23.4% | 2022-01-09 |

### CUMULATIVE RETURN



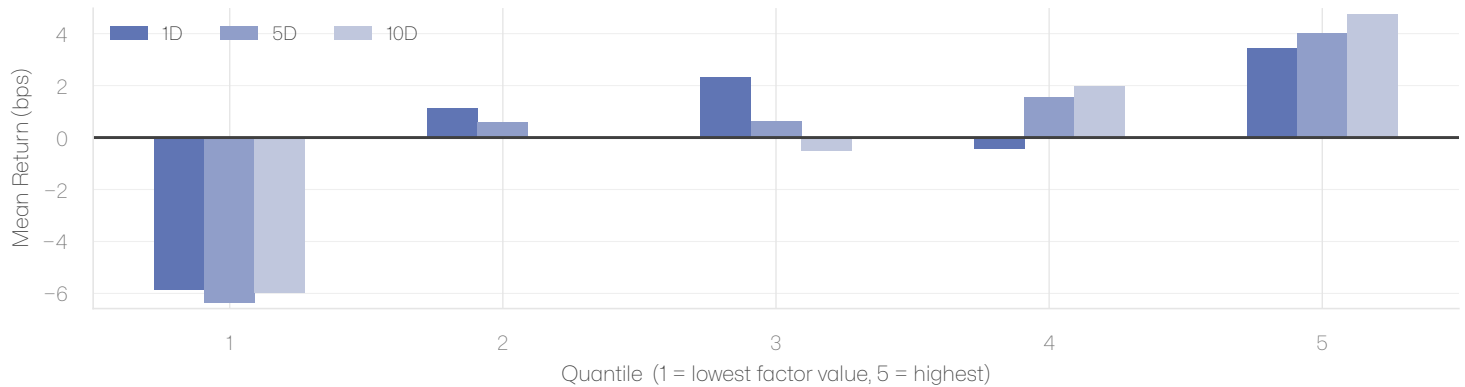
Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

# Factor Analysis

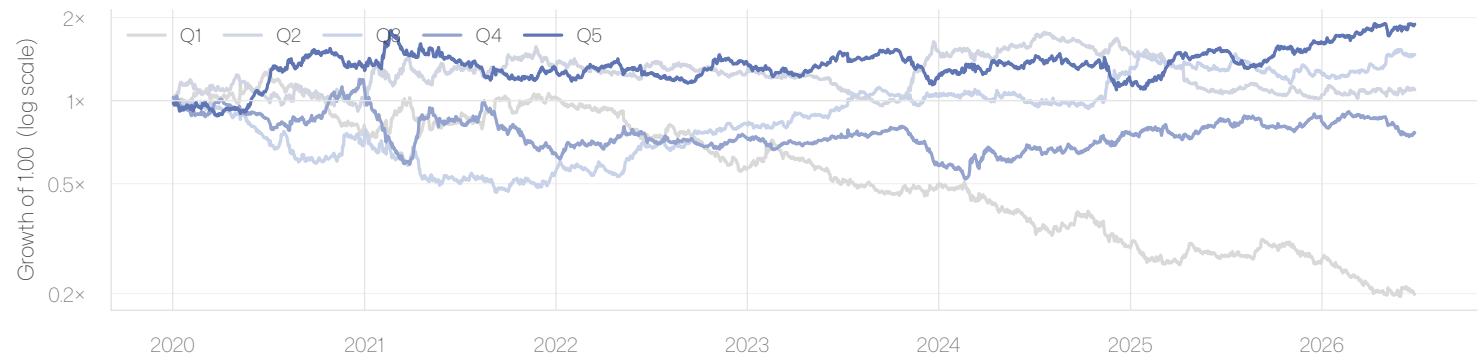
[Download Factor Data \(CSV\)](#) →

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Mean Period Wise Return by Factor Quantile

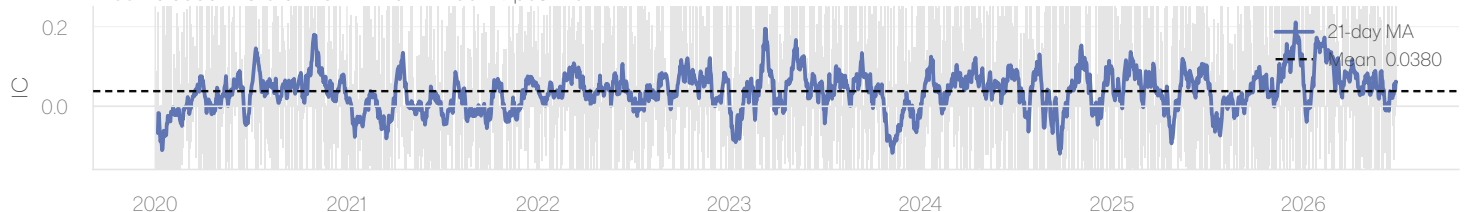


Cumulative Alpha by Quantile • demeaned, 1D



Information Coefficient (Spearman)

Mean 0.0380 • Std 0.2281 • IR 0.17 • 56.1% positive • 1D



## ABOUT APERIODIC FACTORS

Aperiodic Factors publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – built for systematic research and backtesting. Full catalog, methodology and API at [factors.aperiodic.io](https://factors.aperiodic.io); see the materials below.

[View this factor on factors.aperiodic.io](#) →

[Replication notebook – full AlphaLens analysis](#) →

Have further questions? Book a call with our team – [factors.aperiodic.io/booking](https://factors.aperiodic.io/booking)

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